

The Court, *sua sponte*, continues this matter to April 13, 2026, 9:00 am in Department 34. The Court shall issue the order.

Law & Motion
Add On

20. 9:00 AM CASE NUMBER: C24-00605

CASE NAME: VIKAS PRAKASH VS. WILSON AQUINO

HEARING ON SUMMARY MOTION

FILED BY: AQUINO, WILSON

TENTATIVE RULING:

Before the Court is a motion for summary judgment, or in the alternative summary adjudication filed by defendants and cross-complainants Wilson Aquino, Jaime Guevara, and Florencio Amezcua. For the reasons set forth, the Court rules as follows: (1) motion for summary judgment on all claims in the complaint – **DENIED**; (2) motion for summary adjudication of breach of contract cause of action in cross-complaint – **DENIED**; (3) motion for summary adjudication of 2nd, 3rd, 5th, 9th, 10th, 12th, 13th, 14th, 15th, 16th, 21st, 23rd, and 25th affirmative defenses in answer to cross-complaint – **GRANTED**; (4) motion for summary adjudication of 7th, 17th and 20th affirmative defenses in answer to cross-complaint – **DENIED**; (5) motion for summary adjudication of first, fifth, and sixth causes of action of the complaint – **DENIED**; (7) motion for summary adjudication of the second, third, and fourth causes of action of the complaint – **GRANTED**; and (8) motion for summary adjudication of claim for punitive damages in the complaint - **DENIED**.

Background

This action involves a dispute between plaintiff/cross-defendant Vikas Prakash (for convenience, "Mr. Prakash," "Plaintiff," or "Opposing Party") and defendants/cross-complainants Wilson Aquino, Jaime Guevara, and Florencio Amezcua (for convenience, "Aquino Parties," "Defendants," or "Moving Parties") over investment in and sale of a business and the interpretation of and performance under a Business Purchase Agreement ("BPA"). (Compl.; X-Compl. Exh. A.) The complaint includes six causes of action (labeled as "counts" but referred to in this ruling as causes of action) for fraud in the inducement (1st C/A), intentional misrepresentation (2nd C/A), concealment (3rd C/A), negligent misrepresentation (4th C/A), unjust enrichment (5th C/A), and declaratory relief (6th C/A). The cross-complaint alleges a cause of action for breach of contract (1st C/A) and for common counts for goods sold and delivered and money paid (2nd C/A).

Legal Standards Governing Summary Judgment and Summary Adjudication

Under Code of Civil Procedure section 437c(c), a motion for summary judgment "shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law." (Code Civ. Proc. § 437c(c).) The Court of Appeal

summarized the standards for granting summary judgment in *Advent, Inc. v. National Union Fire Ins. Co. of Pittsburgh, PA* (2016) 6 Cal.App.5th 443: " '[W]here the plaintiff has . . . moved for summary judgment . . . [it] has the burden of showing there is no defense to a cause of action. (Code Civ. Proc., § 437c, subd. (a).) That burden can be met if the plaintiff 'has proved each element of the cause of action entitling [it] to judgment on that cause of action.' (Code Civ. Proc., § 437c, subd. (p)(1).) If the plaintiff meets this burden, it is up to the defendant 'to show that a triable issue of one or more material facts exists as to that cause of action or a defense thereto.' (Code Civ. Proc., § 437c, subd. (p)(1).)" [Citation omitted.] (*Id.* at 453.)

A plaintiff as the moving party does not need to disprove the defendant's defenses; a plaintiff meets its burden of showing there is no defense to the claim if the plaintiff proves each element of the cause of action that would entitle plaintiff to judgment on that cause of action in its favor. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 849, 853; *Paramount Petroleum Corp. v. Superior Court* (2014) 227 Cal.App.4th 226, 241; *Oldcastle Precast, Inc. v. Lumbermens Mutual Casualty Co.* (2009) 170 Cal.App.4th 554, 564-565; Code Civ. Proc. § 437c(p)(1).) Where damages are an element of a cause of action subject to the complaint as they are in a breach of contract cause of action, a dispute of material fact on the issue of damages precludes the Court from granting summary adjudication of that cause of action. (*Paramount, supra*, 227 Cal.App.4th at 241 [disputed facts concerning damages on breach of contract claim precluded summary adjudication of that cause of action; the Court cannot grant summary judgment and determine the amount of damages later because damages are an essential element of the cause of action].) (*See also Dept. of Indus. Rel. v. UI Video Stores, Inc.* (1997) 55 Cal.App.4th 1084, 1090 [breach of contract claim where damages are unresolved precludes Court from granting summary judgment].)

When a defendant moves for summary judgment, the defendant bears the burden of producing evidence that plaintiff cannot prove one or more essential elements of plaintiff's claim or that there is a complete defense to the claim. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850; Code Civ. Proc. § 437c(p)(2).) Once the defendant meets this initial burden, the burden shifts to the plaintiff to produce admissible evidence showing that a triable issue of fact exists. (*Advent, Inc. v. National Union Fire Ins. Co. of Pittsburgh, PA, supra*, 6 Cal.App.5th at 453; Code Civ. Proc. § 437c(p)(2).)

Motions for summary adjudication under Code of Civil Procedure section 437c(f)(1) "are 'procedurally identical' to summary judgment motions." [Citation.]" (*Duffey v. Tender Heart Home Care Agency, LLC* (2019) 31 Cal.App.5th 232, 240-241.) A motion for summary adjudication may be granted "if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty." (Code Civ. Proc. § 437c(f)(1).)

The issues to be considered on a motion for summary judgment or summary adjudication are defined by the pleadings. (*Doe v. Good Samaritan Hospital* (2018) 23 Cal.App.5th 653, 661; *Teselle v. McLoughlin* (2009) 173 Cal.App.4th 156, 161 ["The complaint measures the materiality of the facts tendered in a defendant's challenge to the plaintiff's cause of action."].) In deciding a motion for summary adjudication, the Court views the evidence in the light most favorable to the opposing party, drawing "all reasonable inferences in favor of that party. [Citations omitted.]" (*Weiss v. People ex rel. Dept. of Transportation* (2020) 9 Cal.5th 840, 864 ("*Weiss*").) Declarations and other evidence offered in support of the motion are strictly construed, while declarations and evidence offered in opposition to the motion are liberally construed. (*D'Amico v. Bd. of Medical Examiners* (1974) 11 Cal.3d 1, 20;

Johnson v. American Standard, Inc. (2008) 43 Cal.4th 56, 64.) " '[S]ummary judgment cannot be granted when the facts are susceptible to more than one reasonable inference . . . ' " (*Husman v. Toyota Motor Credit Corp.* (2017) 12 Cal.App.5th 1168, 1180.) "All doubts as to the propriety of granting the motion . . . are to be resolved in favor of the party opposing the motion." (*Cohen v. Five Brooks Stable* (2008) 159 Cal.App.4th 1476, 1483.)

Procedural Notes on the Papers

A. The Motion Improperly Moves for Summary Judgment for Two Actions in One Motion

"A party may move for summary judgment in an action or proceeding if it is contended that the action has no merit or that there is no defense to the action or proceeding," or "a party may move for summary adjudication as to one or more causes of action within an action." (Code Civ. Proc. § 437c(a)(1) and (f)(1) [emphasis added].) These references to "an action" in the summary judgment statute are singular references. The word "action" is defined as "an ordinary proceeding in a court of justice by which one party prosecutes another [. . .]." (Code Civ. Proc. § 22 [emphasis added].)

The complaint and the cross-complaint are legally two separate actions. " 'Where there are both a complaint and a cross-complaint there are actually two separate actions pending and the issues joined on the cross-complaint are completely severable from the issues under the original complaint and answer. [Citations.]' [Citation omitted.] " 'Where a cross-complaint is filed there are two simultaneous actions pending between the parties wherein each is at the same time both a plaintiff and a defendant.' [Citation.]' [Citations omitted.]" (*Westamerica Bank v. MBG Industries, Inc.* (2007) 158 Cal.App.4th 109, 134.)

No authority, of which this Court is aware, permits a party to move for summary judgment/summary adjudication on a complaint as well as summary adjudication of claims made in a cross-complaint in a single motion under Code of Civil Procedure section 437c. Nevertheless, no objection to the motion on this ground was raised in the opposition, and the Court will address the motion for summary judgment/summary adjudication on the complaint and summary adjudication of the cross-complaint on the merits.

B. Reply Separate Statement Not Permitted

Code of Civil Procedure section 437c as amended effective January 1, 2025 states in relevant part, "The reply shall not include any new evidentiary matter, additional material facts, or separate statement submitted with the reply and not presented in the moving papers or opposing papers." (Code Civ. Proc. § 437c(b)(4) [emphasis added].) Even if Moving Parties' reply separate statement does not include additional material facts or new evidentiary matter, it includes extensive argument that, if considered, would violate the letter and spirit of the reply page limitations on a summary judgment motion. Further, Code of Civil Procedure section 437c, read as a whole, together with California Rule of Court, Rule 3.1350, do not indicate that argument, rather than facts and evidence, is properly included in a separate statement. The Court therefore does not consider the reply separate statement.

Party's Own Responses to Interrogatories Inadmissible and Do Not Raise Triable Issue

A number of Mr. Prakash's Responses to UMFs and AFs are supported by reference to Mr. Prakash's own responses to interrogatories, which are not admissible by statute. (Code Civ. Proc. § 2030.410

["At the trial or any other hearing in the action, so far as admissible under the rules of evidence, the propounding party or any party other than the responding party may use any answer or part of an answer to an interrogatory only against the responding party." (Emphasis added.); *Bayramoglu v. Nationstar Mortgage LLC* (2020) 51 Cal.App.5th 726, 740; *Great American Insurance Companies v. Gordon Trucking, Inc.* (2008) 165 Cal.App.4th 445, 450].) The Court therefore does not consider them if offered by Mr. Prakash to raise a triable issue. To the extent the responses to that discovery are offered or relied on by the Moving Parties, they can be considered.

The Court applies the same rule to interrogatory responses of Mr. Aquino, Mr. Guevara, and Mr. Amezcua when offered by the Moving Parties as evidence in support of their UMFs. (*See, e.g.*, UMF 51, 52, 54; Birkheimer Decl. Exhs. D-I.) Similarly, when Mr. Prakash submits responses to interrogatories by the Aquino Parties, the Court considers that evidence.

Summary of the Motion and Relief Sought, and Matters Conceded by Opposition

Moving Parties ask for summary judgment on all claims asserted in the Prakash complaint. (Mot. p. 2, ll. 4-6.) In the alternative, they seek summary adjudication of each of the causes of action of the complaint in Issues Five Through Ten and of Plaintiff's request for punitive damages (Issue Eleven). The motion is supported by the Aquino Parties' Separate Statement ("SS") of Undisputed Material Facts (UMFs") to which Opposing Party has filed a response also labeled "Separate Statement of Undisputed Material Facts" but by defendant/cross-complainant Mr. Prakash. For clarity, the Court refers to Mr. Prakash's separate statement as the "Response." The Response also includes additional facts ("AFs") A1-A28. Though the Response does not identify which issues the AFs are directed to, the Court will construe the AFs as being directed to all issues in the SS.

As an alternative to summary judgment on the complaint, the Moving Parties also alternatively seek summary adjudication of the first cause of action of their cross-complaint (Issue One), and summary adjudication of a series of affirmative defenses in Mr. Prakash's answer to the cross-complaint (Issues Two Through Four). Issue Two seeks summary adjudication of twelve affirmative defenses pled in Mr. Prakash's answer to the cross-complaint on the basis that Plaintiff in discovery failed to identify any facts or documents to support those defenses. Plaintiff in the opposition concedes that the following affirmative defenses are irrelevant to the action now. (Opp. p. 11, ll. 19-23.) Having conceded this point, summary adjudication may be properly **granted** as to the following affirmative defenses in the Mr. Prakash answer to the cross-complaint: **5th, 10th, 12th, 13th, 14th, 15th, 16th, 23rd, and 25th affirmative defenses**. (Code Civ. Proc. § 437c(f).) (Resp. to UMF 16, 19-24, 26, 27.)

In Issue Two, the Moving Parties also seek summary adjudication of the 7th, 9th, and 21st affirmative defenses of the Prakash answer to the cross-complaint. Those three affirmative defenses remain contested and will be addressed below. (Resp. to UMF 17, 18, 25.)

The Notice of Motion identifies as Issue Three that the Moving Parties are entitled to summary adjudication of the seventeenth and twentieth affirmative defenses in the answer to the cross-complaint. (Not. Mot. p. 2, ll. 14-15.) The SS, however, labels that issue as Issue Four. (SS p. 29, ll. 8-10.) Opposing Party has not objected to this procedural error (*see* Cal. R. Ct., Rule 3.1350(b)) and has responded to Issues Three and Four on the merits. The Court will address Issue Three as that identified in the notice of motion and motion.

Analysis

A. Issue One – Aquino Parties' Right to Summary Adjudication of Their First Cause of Action for Breach of Contract in Their Cross-Complaint

The essential elements of a cause of action for breach of contract are "(1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff. [Citations omitted.]" (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821.) Issue One is based on UMFs 1-14. There is no dispute that Mr. Prakash, on one hand as buyer, and the Aquino Parties as sellers executed a Business Purchase Agreement ("BPA") on November 27, 2022, a copy of which is attached to the Birkheimer Declaration as Exhibit A-7. (UMF 1; Resp. to UMF 1 [undisputed].) Mr. Prakash also does not dispute that in January 2023, he made a payment of \$150,000 toward the purchase of the shares pursuant to the BPA. (UMF 6; Resp. to UMF 6 [undisputed].) Mr. Prakash disputes the other UMFs in Issue One.

1. The Payment Terms of the BPA Are Ambiguous, but the BPA Is Not Reasonably Susceptible to Mr. Prakash's Interpretation

Section V of the BPA states unequivocally defines the Purchase Price as \$300,000 for the business and the Aquino Parties' stock. Section VI "**Payment**" provides for "Terms of Payment" as follows:

a) 50% as an amount of \$150,000 will be paid by Jan 16th, 2023. This agreement shall be null and void if payment is not received prior to or on January 16, 2023. If the contract is nullified, the Buyer agrees to increase the payment for the 40% stock shares to \$432,000. In the event of a dispute arising from this clause, the Buyer agrees to cover all legal fees for both parties.

b) Remaining 50% as an amount of \$150,000 needs to be paid by July 31st, 2023.

c) Further if the Buyer fails to do payment as per above mentioned terms, then Buyer will be charged a \$5000 late fee every month. If the remaining amount of \$150,000 is not paid in full by November 31st, 2023, the contract will be null and void. If the contract is nullified, the Buyer agrees to increase the payment for the 40% stock shares to \$432,000, any payments made towards the purchase will be deducted from the new owed amount. In the event of a dispute arising from this clause, the Buyer agrees to cover all legal fees for both parties.

(Birkheimer Decl. Exh. A-7 [emphasis added].)

Moving Parties' own UMFs and memorandum highlight the ambiguity in the BPA provisions. (UMF 2 [BPA provided for \$432,000 purchase price] versus UMF 3 [BPA provided for \$300,000 purchase price if paid by July 2023, but this is contrary to Section V which defines the "Purchase Price" as \$300,000]; MPA ISO Mot. p. 12, l. 28 – p. 13, l. 2 [arguing the parties "agreed on two different purchase prices: \$300,000 and \$432,000].) Moving Parties further argue that the parties "referenced each purchase price as a separate 'contract' or 'agreement.'" (MPA ISO Mot. p. 13, ll. 1-2 [emphasis added].) The argument again highlights the ambiguities in the BPA language.

Nothing in Section VI refers back to Section V or clearly changes the defined term "Purchase Price." The BPA has an integration clause. (Birkheimer Decl. Exh. A-7 [BPA Section XVIII [BPA "constitutes the

entire understanding and agreement of the Parties relating to the subject matter hereof and supersedes any and all prior understandings, agreements, negotiations, and discussions, both written and oral, between the Parties hereto with respect to the subject matter hereof.".)

Mr. Prakash argues that he had the option to not make the payments, and if he failed to make the first or second payment then the entire BPA would be "null and void," with all parties essentially left in the same position they were in before the agreement was made. Mr. Prakash's interpretation, however, does not account for the language regarding the payment for the stock increasing to \$432,000 if the payments were not made on time. His interpretation would essentially "write out" the provision regarding the \$432,000 from Section VI; the language of the BPA, though ambiguous, is not reasonably susceptible to the interpretation advocated by Mr. Prakash, which is also not consistent with governing principles of contract interpretation. (Civ. Code § 1641 ["The whole of a contract is to be taken together, so as to give effect to every part, if reasonably practicable, each clause helping to interpret the other."].) (See Rulings on Evid. Obj. Nos. 13, 14 below.)

The Moving Parties contend the language of the BPA reasonably construed means that each of the two installment payment provisions is an "agreement" or "contract," that those installment provisions are null and void if the payment provided for is not timely made, and that the \$432,000 is applicable in that event. This interpretation is a more reasonable interpretation that takes into account all of the language of Section VI and the BPA as a whole.

Mr. Prakash points to the declarations of Mr. Aquino, Mr. Guevara, and Mr. Amezcua filed in support of the motion explaining that the Aquino parties added the provisions to Section VI to address a payment default on the \$300,000 Purchase Price, including the increase in the Purchase Price, the late fees, and the obligation by Mr. Prakash to pay all attorneys' fees if there is a dispute over the provisions. (AF A25 and supporting evidence; see, e.g., Aquino Decl. ¶ 22 ["If he was late making his payments, there would be a monthly late fee, and the total purchase price would be \$432,000, not \$300,000."].) Mr. Prakash argues the provisions are unconscionable and an unenforceable penalty.

The pleadings define the issues in a summary judgment. The Court does not consider the affirmative defenses of unconscionability and unlawful penalty not asserted in the Opposing Party's answer on the summary judgment motion. (*Doe, supra*, 23 Cal.App.5th at 661; *Teselle, supra*, 173 Cal.App.4th at 161.)

Except with respect to his objection to the provision for attorneys' fees, which are not addressed in the UMFs for Issue One and which did not need to be addressed for the Moving Parties to obtain judgment on the breach of contract claim, Mr. Prakash has not raised unconscionability or an unlawful penalty as an affirmative defense in his Answer, as the reply points out. (Reply p. 5, ll. 8-9.) Mr. Prakash has not moved for leave to amend his answer to assert these defenses.

The failure to plead unconscionability as an affirmative defense does not, however, prevent the Court from considering whether the provisions are unconscionable based on the Court's review of the BPA terms. (See Civ. Code § 1670.5(b) ["When it is claimed or appears to the court that the contract or any clause thereof may be unconscionable the parties shall be afforded a reasonable opportunity to present evidence as to its commercial setting, purpose, and effect to aid the court in making the determination." (Emphasis added.)].)

For the reasons stated below, the Court finds triable issues exist as to other elements of the breach of

contract claim that preclude summary adjudication of the breach of contract cause of action in the cross-complaint. The Court also finds there are disputed, triable issues of fact relevant to the claim of unconscionability as shown by the evidence before the Court on the motion. Though the Moving Parties contend there is no procedural unconscionability because Mr. Prakash drafted the initial form of the BPA, it was the Moving Parties who drafted and added the provisions claimed to be unconscionable. (Aquino Decl. ¶ 22; Guevara Decl. ¶ 13; Amezcua Decl. ¶ 12; Prakash Decl. ¶ 14.) Moving Parties argue that the BPA provided for two alternative purchase prices and performance under the agreement, not a penalty, but Mr. Prakash argues in effect the terms are punitive provisions imposed on default and not reasonably related to damages from a late payment. There are conflicting inferences that can be drawn on the evidence on the commercial setting, purpose, and effect of the provisions (i.e., alternative purchase price, alternative performance or excessive penalty unconscionable or void under Civil Code section 1671) that are not properly resolved as a matter of law on this motion but should be addressed at trial.

2. Initial Burden and Triable Issues on Moving Parties' Performance (Delivery of Shares)

As to the second element, that the Moving Parties performed their obligations under the BPA, Moving Parties rely on UMF 5 as proof that the shares in VJW were transferred to Mr. Prakash. They contend that by "executing the [BPA]", the Aquino Parties conveyed their cumulative 40% ownership share of" VJW. The evidence they cite does not support the proposition or prove that their shares were delivered, transferred or conveyed and therefore, that their performed their obligations under the BPA.

Moving Parties cite a page of the Mr. Prakash deposition transcript that is omitted from their exhibits (page 182). The BPA itself does not show that execution of the BPA on November 27, 2022 resulted in the transfer or delivery of the shares to Mr. Prakash. Neither the Guevara or Amezcua Declarations state that the shares were transferred or delivered upon execution of the BPA in the cited paragraphs; indeed, they do not address delivery or transfer at all, other than to say that those declarants eventually "agreed to sell" their shares to Mr. Prakash. (UMF 5 [citing Guevara Decl. ¶¶ 13, 14, and Amezcua Decl. ¶¶ 12, 13.]

Mr. Aquino states the following in his declaration: "It was my understanding that by signing the Business Purchase Agreement, Guevara, Amezcua and I were transferring our respective 10%, 10% and 20% of the business to Mr. Prakash. VJW had never issued share certificates so the Business Purchase Agreement was the way for us to make that transfer, as far as I knew." (UMF 5 [Aquino Decl. ¶ 23 (emphasis added)]). This evidence, coupled with the ambiguous terms of the BPA discussed below, is not sufficient to demonstrate that the shares were delivered or conveyed to Mr. Prakash.

The BPA is less than clear about when and if the shares being purchased would be delivered. The BPA defines VJW as the "Business" in Section II. Section III "**Acquirement**" states that Mr. Prakash as buyer "agrees to purchase a portion of the shares of stock equal to 40% of the outstanding shares." Section V "**Purchase Price**" states that Mr. Prakash "agrees to purchase the Business under the type of acquirement mentioned in Section III for \$300,000.00 ("Purchase Price). The Purchase Price represents the total sum of money that is agreed to by the Parties for the transaction mentioned in this Agreement." (UMF 5 [Birkheimer Decl. Exh. A-7 (emphasis added)]).

Section VIII "**Closing Date**" states: "The closing shall occur on or before November 27, 2022 ("Closing Date") [date of execution of the BPA] at a time and location agreeable to the Parties. Section XI "**Delivery**" is most relevant to the share transfer. That provision states: "The delivery of the Business, along with any stock certificate, shall be transferred to Buyer at the Closing Date upon the funds being received by the Seller." (UMF 5 [Birkheimer Decl. Exh. A-7 (emphasis added)]).

Setting aside Mr. Prakash's contention that he had the right to not pay the second installment and void the agreement, the Moving Parties do not dispute that the BPA did not provide for a single payment, or for a payment of any funds on the Closing Date. Even under the Moving Parties' interpretation of the BPA, the Purchase Price was to be paid in two tranches of "funds" to the Aquino Parties, the first to be made by January 16, 2023, months after the "Closing Date," and the second of months after that in July 2023. (UMF 6, 7.) The BPA language is not reasonably susceptible to Aquino's "understanding" that delivery of the shares occurred on contract execution.

" 'The court generally may not consider extrinsic evidence of any prior agreement or contemporaneous oral agreement to vary or contradict the clear and unambiguous terms of a written, integrated contract. [Citations.] Extrinsic evidence is admissible, however, to interpret an agreement when a material term is ambiguous. [Citations.]' [Citation omitted.] We ascertain ' "the intent and scope of [an] agreement by focusing on the usual and ordinary meaning of the language used and the circumstances under which the agreement was made." ' [Citation omitted.] 'We consider the contract as a whole and interpret its language in context so as to give effect to each provision, rather than interpret contractual language in isolation. [Citation.]' [Citation omitted.] 'If contractual language is clear and explicit and does not involve an absurdity, the plain meaning governs. [Citation.]' [Citation omitted.]" (*Wind Dancer Production Group v. Walt Disney Pictures* (2017) 10 Cal. App. 5th 56, 69.)

Here, the language is not "clear and explicit." The language in Section XI could be construed to mean the shares would transfer when some of the funds (the first \$150,000) were received by the Aquino Parties, or only when the "funds" (as in all funds) owed for the Purchase Price were received. The language is ambiguous as to the material term of Delivery in Section XI, but for the reasons stated, Aquino's interpretation is not a reasonable construction of the delivery term. As a result, Moving Parties did not meet their initial burden to prove the second element (performance by the Aquino Parties) for breach of contract based on the evidence presented in their initial moving papers, since the only evidence offered on their performance of their obligation to transfer the shares does not support that the shares were delivered Mr. Prakash when the contract was executed. They cite no other evidence that the shares were delivered on some other date. Even if the Moving Parties did meet their initial burden, the ambiguity in the Delivery provision (coupled with ambiguities in Section VI discussed below) and the lack of UMFs and supporting evidence in Issue One sufficient to demonstrate that the shares were in fact transferred, such that the Moving Parties performed their obligations under the BPA, raise triable issues that cannot be resolved as a matter of law.

3. Triable Issues on Damages Element

As to the damages element, Moving Parties take the position that they are entitled to recover the remainder of the unpaid purchase price for their shares in VJW, but they assert varying amounts of damages for the breach depending on which payment provisions of the BPA are enforceable.

(Compare UMFs 2 [the BPA contemplated Aquino Parties would convey their 40% total shares to Mr. Prakash for \$432,000] and 8-11 [asserting \$432,000-\$150,000 plus \$20,000 late fees and statutory 10% interest due] to UMF 3 [under the BPA if paid by July 2023, the purchase price was \$300,000], and 12-14 ["using the discounted \$300,000 contract price," then the amount due is \$300,000-\$150,000 plus \$20,000 late fees plus statutory 10% interest].) Without considering the disputes Mr. Prakash raises as to whether any amount is due at all, the fact that there are multiple possible alternative damages amounts owed based on the terms of the BPA raises triable issues regarding damages that precludes summary adjudication of this issue. (*Paramount, supra*, 227 Cal.App.4th at 241 [disputed facts concerning damages on breach of contract claim precluded summary adjudication of that cause of action; the Court cannot grant summary judgment and determine the amount of damages later because damages are an essential element of the cause of action].) (See also *Dept. of Indus. Rel. v. UI Video Stores, Inc.* (1997) 55 Cal.App.4th 1084, 1090 [breach of contract claim where damages are unresolved precludes Court from granting summary judgment].) Indeed, it is not clear that in light of these UMFs, Moving Parties have met their initial burden on this Issue.

Even if Moving Parties met their initial burden, the parties clearly dispute whether the proper measure of damages can include the higher purchase price of \$432,000 and the late charges. As to whether the provisions are unconscionable, which the Court can consider under Civil Code section 1670.5(b) as explained above, the Court finds that there are triable issues concerning the unconscionability of the damages provisions of the BPA that should be resolved by trial, not on summary judgment, given at a minimum reasonable, conflicting inferences as to whether the \$432,000 and late payment subject to late charges were merely an alternative form of performance or an unenforceable penalty. (Civ. Code §§ 1670.5(b), 1671(b), and see generally *Grand Prospect Partners, LLC v. Ross Dress for Less, Inc.* (2015) 232 Cal.App.4th 1332.)

Based on the foregoing, summary adjudication of Issue One and the first cause of action of the cross-complaint is **DENIED**.

B. Issue Two – 7th, 9th, and 21st Affirmative Defenses

Moving Parties met their initial burden on the motion on these defenses by citing Mr. Prakash's supplemental responses to Form Interrogatory No. 15.1 as to those affirmative defenses. At the time of his responses, he indicated that he did not have supporting facts, but that discovery was ongoing. (UMF 17, 18, and 25 and supporting evidence.)

The Moving Parties contend in their reply that Mr. Prakash cannot "revive defenses he admitted he lacked evidence to support" in his discovery responses. (Reply p. 5, ll. 18-19.) That is not the law; a party may oppose a summary judgment motion with evidence not disclosed in response to a form interrogatory or other discovery because, unless otherwise stated in the response, the party only provides information available at the time of the response. A party is not under a duty to supplement a response to discovery, unless otherwise stated in the response, and an evidentiary sanction for nondisclosure can only be imposed under prescribed circumstances not present here. (*Biles v. Exxon Mobil Corp.* (2004) 124 Cal.App.4th 1315, 1328-1329; *Browne v. Turner Construction Co.* (2005) 127 Cal.App.4th 1334, 1349.) The failure to amend, outside of a violation of a court order requiring amendment, does not preclude the party from opposing a motion for summary judgment with new evidence. (*Biles, supra*, 124 Cal.App.4th at 1329 ["If a party who fails to amend or supplement

interrogatory responses can be categorically precluded from offering undisclosed information in opposition to a later filed summary judgment motion, the need for a burden-shifting rule would be eliminated. In its place would be a rule that compels the granting of a motion for summary judgment based on factually void discovery responses, because any attempt to fill the void with new evidence would be precluded. Exxon cites no authority for such a rule."].)

The Moving Parties contend that even if Mr. Prakash can assert the defenses, Mr. Prakash has not cited competent evidence to support them. Mr. Prakash has raised factual issues concerning the enforceability of the attorneys' fees provision from the face of the BPA (7th affirmative defense) based on unconscionability. The provision imposes on Mr. Prakash alone liability for all parties attorneys' fees if any dispute arises over the (ambiguous) payment provisions, regardless of which party raises the dispute and/or which party prevails in the dispute. (Civ. Code § 1760.5(b).) (UMF 17.) The Court finds triable issues exist warranting determination at trial, not as a matter of law on this motion, so that the parties can present their respective evidence on the commercial setting, purpose, and effect of the attorneys' fees provision.

The 9th affirmative defense states that "the cause of action stated in the Cross-Complaint is ambiguous, unintelligible and uncertain. Accordingly, Cross-Complainants are barred from recovering against this answering Cross-Defendant for any such damages." (Ans. To X-Compl., 9th Aff. Def. [emphasis added].) While Mr. Prakash has raised disputed facts regarding the ambiguity of the BPA, as set forth above, that does not mean that the cross-complaint as pled is ambiguous or uncertain, nor has the Opposing Party cited facts or evidence to support this affirmative defense as pled. His Response to UMF 18 does not raise any triable issue regarding the actual affirmative defense he pled in his answer; an affirmative defense of "ambiguity" in relation to the BPA is outside the pleadings and cannot be asserted to raise a triable issue on summary judgment. (*Doe, supra*, 23 Cal.App.5th at 661; *Teselle, supra*, 173 Cal.App.4th at 161.)

The 21st affirmative defense states in relevant part that "this answering Cross-Defendant [i.e., Mr. Prakash] suppressed no facts or representations which they were bound to disclose to Cross-Complainant, and [cross-defendant] gave no information or other facts to Cross-Complainant which were likely to mislead Cross-Defendant for want of communication of said facts or representation." (Ans. To X-Compl., 21st AF [emphasis added].) The facts Mr. Prakash asserts in response to UMF 25, and his AFs, do not raise a genuine dispute of material fact regarding this affirmative defense. The defense as pled addresses the fact Mr. Prakash did not suppress facts or mislead the Aquino Parties as cross-complainants, not Mr. Prakash's claim that the Aquino Parties misled him.

For these reasons, the Court **DENIES** summary adjudication of Issue Two to the extent it pertains to Mr. Prakash's 7th affirmative defenses in his answer to the cross-complaint. The Court finds no triable issues of material fact and that the Aquino Parties are entitled to summary judgment as a matter of law as to Mr. Prakash's 9th and 21st affirmative defenses in his answer to the cross-complaint. The Court **GRANTS** summary adjudication of Issue Two as to the 9th and 21st affirmative defense of the answer to the cross-complaint.

C. Issue Three – Mr. Prakash's 17th and 20th Affirmative Defenses to the Cross-Complaint

The 17th affirmative defense in Mr. Prakash's answer to the cross-complaint is that "prior to commencement of this action, this answering Cross-Defendant duly performed, satisfied and

discharged all duties and obligations that they may have owed to Cross-Complainants arising out of any and all agreements, representation, or contracts made by them or on behalf of this answering Cross-Defendant, and this action is therefore barred by California Civil Code Section 1473." (Ans. To X-Compl., 17th Aff. Def.) The 20th affirmative defense is similar, stating "This answering Cross-Defendant is informed and believes and upon that basis alleges that this answering Cross-Defendant have duly performed all of their contractual duties, if any, owed to Cross-Complainants, except for such duties as have been excused and/or prevented by the acts or omissions of Cross-Complainant." (Ans. To X-Compl., 17th Aff. Def.)

The factual and evidentiary support the Opposing Party offers for these affirmative defenses is his interpretation of the BPA by which he had the option or right to not make the second payment for the purchase of the stock and business called for in the BPA. (See Resp. to UMF 41-44, including undisputed claims made by Mr. Prakash in UMF 43, 44.) Despite the ambiguities in the language of the BPA, the construction of the terms of the BPA advocated by Mr. Prakash is not a reasonable interpretation of the language of Section VI, reading that section and the BPA as a whole for the reasons set forth above. Mr. Prakash's interpretation would give no effect to the provision for an increase in the amount to be paid to \$432,000, rendering the language surplusage. The language of the BPA does not suggest Mr. Prakash had any "option" not to buy the business or shares once he entered into the agreement. The Court therefore finds the Response to UMF Nos. 41 and 42 do not raise genuine disputes material to disposition of these affirmative defenses.

However, Issue Three is also based on UMF 45, in which the Aquino Parties assert that Mr. Prakash failed to return to the Aquino Parties VJW's profits he received as 100% owner of the entity when he failed to complete the purchase. As set forth above, the delivery provision regarding the stock is ambiguous. Nothing in this UMF addresses whether or when the stock was delivered or transferred to Mr. Prakash or showing Mr. Prakash actually became 100% owner of the stock of VJW. The declaration evidence cited in support of UMF 45 only states that Mr. Prakash did not offer to return the profits from VJW from when he was 100% owner, but the underlying facts (that there were profits, and that Mr. Prakash actually became the 100% owner of the stock because the stock held by the Aquino Parties was delivered or transferred) are not established in the declarations and have been genuinely disputed by Mr. Prakash. (See UMF 45 [citing Aquino Decl. ¶ 45 [stock and profits]; Guevara Decl. ¶ 14 [does not want the stock back]; Amezcua Decl. ¶ 13 [same as Guevara].) Strictly construing the evidence in support of the motion as the Court must on summary judgment, it is not clear that the UMF is fully supported by the cited evidence. Even if it were, Mr. Prakash has raised genuine factual disputes by presenting evidence that VJW had no profits (and thus nothing to return to the Aquino Parties) at least for 2022, and as to whether under the BPA the Aquino Parties received back or retained their stock ownership in any event when the second payment was not made. (Resp. to UMF 45.)

Summary adjudication of Issue Three as to the 17th and 20th affirmative defenses of the answer to the cross-complaint is **DENIED**.

D. Issue Four – Opposing Party's Waiver and Estoppel Affirmative Defenses

The Moving Parties contend they are entitled to summary adjudication of Mr. Prakash's waiver (Ans. to X-Compl., 2nd Aff. Def.) and estoppel (Ans. to X-Compl., 3rd Aff. Def.) affirmative defenses "for the

same reasons that defeat his fraud claims." (SS p. 23, ll. 24-26.) This formulation of the issue is not verbatim the formulation in the notice of motion (Not. Mot. p. 2, ll. 16-17), contrary to Rule 3.1350(b) of the California Rules of Court. Opposing Party did not object to this procedural violation, and the Court considers the issue on the merits.

UMFs 28-30, 35, 37, 38, and 40 are undisputed. Mr. Prakash admits his interrogatory responses stated his waiver and estoppel defenses are based on the alleged Expense Representations and Deficiency Representations. (UMF 28, Resp. to UMF 28.) He admits as undisputed that neither Mr. Guevara nor Amezcua made Deficiency Representations. (UMF 29, 30, Resp. to UMF 29, 30.) He admits neither Amezcua nor Aquino made the alleged Expense Representations and cites no evidence to dispute that Mr. Guevara also did not make the alleged Expense Representations, only arguing without evidence that "[w]hether Guevara personally uttered a specific phrase is not dispositive; triable issues include collective misrepresentation/concealment of expenses." The argument raises no triable issue of fact as it implicitly admits Mr. Guevara made no such Expense Representation and raises no basis for "collective" misrepresentation when he has admitted Amezcua and Aquino made no Expense Representations. (UMF 35-37, Resp. to UMF 35-37.) The argument about concealment is further undermined as to the Expense Representations because Mr. Prakash admits as undisputed that he knew the actual facts regarding the Expense Representation before he entered into the BPA. (UMF 40, Resp. to UMF 40.) Mr. Prakash does not present evidence to dispute UMF 39 (Resp. to UMF 39 citing complaint and Mr. Prakash interrogatory responses), and even Mr. Prakash's argument in response does not address the fact stated, which is that the Aquino Parties believed Robinson Oil was a legitimate fuel vendor until Mr. Prakash informed them otherwise.

Mr. Prakash raises no triable issue regarding UMF 32-34 and 39 related to Deficiency Representations as he cites only allegations of his complaint (not evidence) and his own interrogatory responses (not admitted when offered by the party responding to the interrogatories). Mr. Prakash has cited no contrary, admissible evidence to contest the UMF and supporting evidence that Mr. Prakash knew before he prepared the BPA that FedEx had threatened to terminate VJW because of the VEDR violations, that FedEx had notified Mr. Prakash there were unresolved violations. (UMF 32-34, Resp. to UMF 32-34 [citing only complaint and/or Mr. Prakash's interrogatory responses, not admissible as evidence when offered by the responding party].) The only UMF addressing the Deficiency Representations that asserts is "disputed" with a citation to evidence is UMF 31, but paragraph 22 of the Aquino Declaration cited by Mr. Prakash to support his dispute does not address the Deficiency Representation and the fact state in UMF 31.

Collectively, the UMFs demonstrate, without contrary evidence to raise a dispute, that either each of the Aquino Parties did not make the Expense Representations and/or Deficiency Representations and/or that Mr. Prakash had contrary information and did not or could not have reasonably have relied on the alleged Expense Representations and/or Deficiency Representations when he entered into the BPA. Opposing Party has not raised a triable issue of material fact as to Issue Four. Summary adjudication of Issue Four as to the second and third affirmative defenses in the answer to the cross-complaint is **GRANTED** in favor of the Aquino Parties.

E. Issues Five to Eight – Legal Background to Fraud Causes of Action (Compl. 1st-4th C/As)

In Issues Five through Eight, Moving Parties seek summary adjudication of the first through fourth

causes of action of Mr. Prakash's complaint, each of which alleges some variation on fraud.

" 'The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or "scienter"); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.' [Citation, internal quotations omitted.]" (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638.) Intentional misrepresentation is a form of fraud with the elements set forth above from *Lazar, supra*, 12 Cal.4th 631, 638.

" 'Fraud in the inducement is a subset of the tort of fraud. It "occurs when []the promisor knows what he is signing but his consent is induced by fraud, mutual assent is present and a contract is formed, which, by reason of the fraud, is voidable.[]" ' [Citations omitted.]") (*Dhital v. Nissan North America, Inc.* (2022) 84 Cal. App. 5th 828, 839 [holding "fraudulent inducement exception" applied and complaint stated a cause of action against vehicle manufacturer].) (*See also Lazar, supra*, 12 Cal.4th at 645 [addressing fraudulent inducement to enter into employment contract, stating "fraudulent inducement of contract--as the very phrase suggests--is not a context where the 'traditional separation of tort and contract law' [citations omitted] obtains. To the contrary, this area of the law traditionally has involved both contract and tort principles and procedures."].)

The elements of a claim for negligent misrepresentation are similar to intentional misrepresentation, but that claim "does not require intent to defraud but only the assertion, as a fact, of that which is not true, by one who has no reasonable ground for believing it to be true. [Citation omitted.]" (*Conroy v. Regents of University of California* (2009) 45 Cal.4th 1244, 1255 [citing *Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 173-174].)

" 'Promissory fraud' is a subspecies of the action for fraud and deceit. A promise to do something necessarily implies the intention to perform; hence, where a promise is made without such intention, there is an implied misrepresentation of fact that may be actionable fraud. [Citation omitted.]" (*Lazar, supra*, 12 Cal.4th at 638.) "To maintain an action for deceit based on a false promise, one must specifically allege and prove, among other things, that the promisor did not intend to perform at the time he or she made the promise and that it was intended to deceive or induce the promisee to do or not do a particular thing. [Citations omitted.]" (*Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 159 [emphasis added].) Proof of subsequent nonperformance is not sufficient to support an inference of intent not to perform at the time the contract was made to state a claim for false promise. (*Tenzer v. Superscope* (1985) 39 Cal.3d 18, 30-31.)

Deceit can also consist of concealment or failure to disclose material facts. (*Lazar, supra*, 12 Cal.4th at 638; Civ. Code § 1710, subd. 3 [defining "deceit"].) "In transactions which do not involve fiduciary or confidential relations, a cause of action for non-disclosure of material facts may arise in at least three instances: (1) the defendant makes representations but does not disclose facts which materially qualify the facts disclosed, or which render his disclosure likely to mislead; (2) the facts are known or accessible only to defendant, and defendant knows they are not known to or reasonably discoverable by the plaintiff; (3) the defendant actively conceals discovery from the plaintiff." (*Bigler-Engler v. Berg, Inc.* (2017) 7 Cal.App.5th 276, 311.) "The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact to the plaintiff; (3) the defendant intended to defraud the plaintiff by intentionally concealing or

suppressing the fact; (4) the plaintiff was unaware of the fact and would not have acted as he or she did if he or she had known of the concealed or suppressed fact; and (5) plaintiff sustained damage as a result of the concealment or suppression of the fact. [Citation omitted.]" (*Graham v. Bank of America, N.A.* (2014) 226 Cal.App.4th 594, 606.) (*See also Bigler-Engler, supra*, 7 Cal.App.5th at 310-311.)

1. Issue Five – Fraudulent Inducement (Promissory Fraud) (1st C/A)

Moving Parties present UMFs 46-54 in support of their contention that they are entitled to summary adjudication of the first cause of action of the complaint for fraudulent inducement (promissory fraud). In the complaint, Mr. Prakash alleges three categories of what he contends are false representations. First, he alleges the Aquino Parties represented to him "that VJW would be capitalized with \$890,000 for the purchase of the Assets, such that each 10% [ownership interest] required a contribution of \$89,000," that each of them "would be contributing their pro rata investment capitalization for their shares of VJW, and would contribute time, effort, and skill to the operation of the business, and that "the corporation's capitalization would be organized with Vikas having a 50% ownership and contributing \$445,000, Aquino having a 20% ownership and contributing \$178,000, Guevara having a 10% ownership and contributing \$89,000, Amezcua with a 10% ownership and contributing \$89,000 ('False Capital Representation'). . . ." (Compl. ¶¶ 10, 11.)

Second, he alleges that Mr. Prakash and each of the Aquino Parties was assigned responsibility for various tasks associated with the operation of the business, including handling "fuel transactions for the VJW vehicles, package scanner operations, vehicle operations monitoring with the Video Equipment Data Recorder (VEDR), and issues which might arise with FedEx as transmitted by VEDR ('Partner Responsibility')." (Compl. ¶ 13.) He alleges that periodically between January and November 2022, Federal Express issued notices to VJW "of alleged deficiencies including instances where VJW vehicles had the VEDR covered up so as to effectively disable transmission of data and package scanners not functioning ('FedEx Deficiencies'), but that the Aquino Parties "represented to [Mr. Prakash] that they worked with FedEx and corrected the FedEx Deficiencies to FedEx's satisfaction prior to November 27, 2022 ('Deficiency Representations')." (Compl. ¶ 13.)

Third, Mr. Prakash alleges that the Aquino Parties "further represented to Plaintiff that expenses incurred were all properly used for the business operations of VJW, including the payment of fuel costs through Robinson Oil Company ('Expense Representations')." (Compl. ¶ 14.) Mr. Prakash incorporates all of these allegations into his first cause of action and asserts all three of the categories of alleged misrepresentations as the basis for his first fraud cause of action. (Compl. ¶¶ 19-26.) He alleges he was induced by the False Capital False Capital Representations to buy into VJW initially and then was induced by the false Deficiency Representations and Expense Representations to enter into the BPA to buy out the Aquino Parties' ownership interests in JFW. (Compl. ¶¶ 19-26.)

In their initial memorandum in support of summary adjudication of this cause of action, the Moving Parties seem to suggest that they can ignore the Deficiency Representations and Expense Representations in trying to obtain summary adjudication of this cause of action, as they are not "promises" and do not support a "promissory fraud" claim. (MPA ISO Mot. pp. 15-16 [addressing only the capital contributions].) The title of the cause of action, however, is "Fraudulent Inducement," though it also refers to promissory fraud, and the contents of the allegations which form the basis of

the cause of action and which Moving Parties must attempt to defeat clearly assert claims that the Aquino Parties fraudulently induced Mr. Prakash to enter into the BPA to buy out their interests and to part with \$300,000 in reliance on the Deficiency Representations and Expense Representations. (Compl. ¶¶ 13, 14, 15, 19, 23, 24.)

Summary adjudication can only be granted if it fully disposes of a cause of action. (Code Civ. Proc. § 437c(f).) Moving Parties' UMFs in support of Issue Five seeking summary adjudication of the first cause of action do not address the Deficiency Representations or the Expense Representations alleged and incorporated into this cause of action and which are part of the basis of this claim. They address only the capital contributions or amount paid by the Aquino Parties to acquire their aggregate 40% ownership interest in VJW. As a result, they have not met their initial burden on the motion as to Issue Five and the first cause of action of the complaint. The motion for summary adjudication of Issue Five as to the first cause of action of the complaint is **DENIED**. Having denied the motion for summary adjudication of one of the causes of action of the complaint, the motion for summary judgment on the complaint is also **DENIED**.

2. Issue Six – Intentional Misrepresentation (2nd C/A)

Moving Parties present UMFs 55-80 in support of their right to summary adjudication of the second cause of action for intentional misrepresentation. Some of the UMFs are listed as undisputed (UMFs 55, 65, 66, 77, 78). A number of the UMFs listed by Mr. Prakash as "disputed" cite only the complaint, which is not evidence, and Mr. Prakash's own responses to interrogatories, which cannot be used by the responding party under the authority cited above, such that the responses do not raise a triable issue of fact supported by evidence. (UMFs 68, 69, 70, 73, 74, 79, 80.) In his response to several other UMFs, Mr. Prakash only cites the evidence of the Moving Parties' declarations, in addition to the complaint (not evidence) and Mr. Prakash's interrogatory responses (not admissible evidence). (See UMFs 58, 60, 62, 63, 64, 67.) Mr. Prakash disputes UMFs 56, 57, 71, 72, 75, and 76 with citations to his own evidence.

Like the first cause of action, the second cause of action for intentional misrepresentation relies on the three categories of representations (Capital, Deficiency, and Expense). Moving Parties have included UMFs addressed to all of the categories of alleged representations.

(a) Capital Representations Claim

As to the Capital Representations, Mr. Prakash contends that he paid \$445,000 for his 50% interest in VJW and that he relied on his understanding that the Aquino Parties would each pay a *pari passu* amount for their respective interests, such that for each 10% interest, the party would pay \$89,000. (Compl. ¶¶ 10, 11.) Though Mr. Prakash characterizes the payments as "capital contributions," it is undisputed that the payments were made to Dhiraj Parkar, not VJW, such that they were not supplying capital to VJW. (UMF 55; Resp. to UMF 55.) (Dhiraj Parkar owned a separate company, JP&M or JPM, which operated the FedEx route delivery business to be taken over by VJW, with Mr. Prakash and the Aquino Parties as owners of VJW. Later references in this ruling will be to "Dhiraj" because of the similarity of his last name to that of Plaintiff Mr. Prakash for clarity's sake, and with no disrespect intended.) Ignoring the evidence offered by Moving Parties from the Moving Parties' responses to special interrogatories, the other evidence presented by Moving Parties shows that the Aquino Parties paid more than \$89,000 per 10% and instead paid based on the unsigned "Addendum"

figure of \$1,080,000, with each paying \$108,000 per 10% interest plus a \$3,100 expense fee by Mr. Guevara and Amezcua. (Prakash Decl. ¶ 7, Exhs. A and B; UMF 57, 58 [Aquino Decl. ¶ 7 and Exh. K; Guevara Decl. ¶ 6 and Exh. L; Amezcua Decl. ¶ 5 and Exh. M]; Resp. to UMFs 57, 58.)

Mr. Guevara's and Mr. Amezcua's payment evidence shows their payments were made in December 2021 and January 2022. The evidence supporting the Guevara and Amezcua payments explains the amounts paid, and Mr. Prakash submits no evidence to contradict those facts. (UMF 58 and evid.) Mr. Aquino similarly declares he made multiple payments for the stock, supported by attached banking records he declares show the funds paid. (UMF 57.)

Notwithstanding declarations by these parties under penalty of perjury that their interest was purchased with multiple payments and checks, Mr. Prakash makes an argument that only the first of the multiple checks each party issued was "really" payment for the purchase price of the interest in VJW. (Resp. to UMFs 57, 58, and AF 5.) Other evidence Opposing Party relies on to raise a triable issue cited in AF 6 and Response to UMFs 57 and 58 is insufficient to support a reasonable inference that the second payments made by Mr. Guevara and Mr. Amezcua, which were made in January 2022 not May 2022, and the May 2022 payments by Aquino were related to an SBA loan application by a related business enterprise (Ballers LLC and InExpress franchises).

The cited evidence does not refer to any dates in which the SBA loan application for InExpress franchise #149 may have been prepared or pending so as to support Mr. Prakash's contention the payment timing in May 2022 was in any way connected to the SBA application. (Resp. to UMFs 57, 58 [citing Rooney Decl. Exhs. B, C, D, in which RFP No. 3 asks for documents "reflecting any applications to the Small Business Administration relating to any InExpress franchise," and the Response states in pertinent part: "Responding Party has conducted a diligent search and reasonable inquiry and is producing herewith all responsive, non-privileged documents in his possession, custody or control. The responsive SBA application was initiated, but never completed, in relation to InXpress franchise #149. The purchase of InXpress franchise #149 was never consummated. [¶] Responding party has conducted a diligent search and reasonable inquiry and is unable to comply with the request as it pertains to InXpress franchise #204 which is presently owned and operated by Ballers Group LLC, of which Responding Party is a member, because to Responding Party's knowledge, no SBA application was ever prepared or submitted in relation to InXpress franchise # 204 in connection with Responding Party's or Ballers Group LLC's ownership."].)

Ballers Group LLC was formed in 2020, the September 2020 APA concerns InExpress franchise #204 which did not seek an SBA loan according to the discovery responses attached and cited by Mr. Prakash, and the Ballers Group operating agreement was executed in July 2021. (Rooney Decl. Exh. E.) Mr. Prakash cites no other evidence to support his argument in the Response to UMF 57 that the Aquino Declaration attesting to his payments to Dhiraj for the interest in VJW with attached payment documents (Exh. K) were paid "at the same time an SBA loan was being sought." The fact that the check amounts from Aquino total \$222,000 rather than \$216,000 (based on a \$1,080,000 APA purchase price) is consistent with other evidence that Mr. Guevara and Mr. Amezcua paid \$108,000 each and an extra \$3,100 for Dhiraj's expenses (so for a 20% purchased by Mr. Aquino, double their investment/stock interest, Mr. Aquino paid \$6,000 for expenses). (UMF 59; Resp. to UMF 59 [undisputed re additional expense payments by Mr. Guevara and Mr. Amezcua].) Mr. Prakash's arguments that the second payments made by each of the Aquino Parties were not related to the

purchase of VJW but might be related to a different business venture is speculation and conjecture, not a reasonable inference from any evidence he cites.

The undisputed evidence negates that the Capital Representations allegedly made to Mr. Prakash regarding the amount paid by the Aquino Parties for their ownership interests in VJW were false. Mr. Prakash's argument and speculation is not contrary evidence raising a triable issue.

(b) Expense Representations

Mr. Prakash alleges the Aquino Parties "represented to Plaintiff that expenses incurred were all properly used for the business operations of VJW, including the payment of fuel costs through Robinson Oil Company," and that he relied on the "truthful accounting" of the VJW fuel expenses by the Aquino Parties. (Compl. ¶ 14.) In UMFs 73 and 74, the Aquino Parties deny they told Mr. Prakash all fuel costs were properly used for VJW's business or that the Robinson Oil (fuel vendor) bills were correct, or that a former employee was authorized to use the gas card. Mr. Prakash "disputes" by essentially conceding that the "representations" he contends were made were not verbal statements but arose from "conduct and omissions" by the Aquino Parties in failing to "verify" the fuel vendor (Robinson) "billing/usage," not investigating "irregular charges," and not verifying authorization for use of the gas card. (Resp. to UMF 73 and 74.)

Mr. Prakash cites no admissible evidence to support his dispute of these UMFs. Resp. to UMF 73 and 74 [citing only complaint and his own (inadmissible) responses to interrogatories].) The undisputed evidence negates that the Aquino Parties made Expense Representations to Mr. Prakash, much less false representations with knowledge of their falsity. Mr. Prakash's dispute is an argument that his business partners were allegedly derelict or negligent in supervising the fuel expenses, the billings/charges, and users, not that they made knowing, false representations to him as alleged in the sixth cause of action of the complaint. (Compl. ¶¶ 14, 32-34.) The Aquino Parties have negated that they made false Expense Representations.

(c) Deficiency Representations

Mr. Prakash admits that neither Mr. Amezcua nor Mr. Guevara made any representations to him regarding the FedEx Deficiencies. (UMF Nos. 77, 78; Resp. to UMF Nos. 77, 78.) Moving Parties present many UMFs regarding Mr. Prakash's knowledge of problems with the title issues and other problems with the scanners necessary for VJW to make the FedEx deliveries, as well as the VEDR requirements for the FedEx contract compliance, and the SmartDrive system in which numerous alerts had been issued resulting in violations of the FedEx contract. (UMFs 61-72.) Moving Parties' supporting evidence includes email exchanges between Mr. Prakash and FedEx between October 17 and October 19, 2022 regarding VJW's noncompliance with the FedEx contract and reports showing its failure to satisfy four out of four metrics. (Birkheimer Decl. Evid. Tab 1, Exh. J.) Though Mr. Prakash cites several of these facts as disputed (Resp. to UMF 62-64, 67-72), and though Mr. Prakash contends that he did not know in October 2022 that there were still unresolved FedEx problems until he received the emails from FedEx in October 2022 threatening termination of the contract, and that Aquino was responsible for addressing the FedEx deficiencies, the responses do not dispute the fundamental fact that Mr. Prakash was aware there were numerous alerts and violations putting the FedEx contract at risk if they were not remedied.

UMF 69 states that Aquino never told Mr. Prakash all the deficiencies through November 27, 2022

had been resolved, and that Mr. Prakash knew as of that date that FedEx still claimed there were unresolved violations, supported by the Aquino Declaration and Moving Parties' Exhibit J, the October 17-19, 2022 email exchange with FedEx regarding the violations and FedEx threat to terminate the contract. (UMF 69.) Mr. Prakash again labels the UMF disputed but cites no contrary evidence to support his dispute. (Resp. to UMF 69.)

Nevertheless, despite all of his prior knowledge of the violations and risk of contract termination by FedEx, reflected in the emails from October 2022, Mr. Prakash testified at his deposition regarding a phone call he had with Aquino between November 25 and November 27, 2022 on the eve of executing the BPA. He testified that only he and Mr. Aquino were parties to the call and that Mr. Aquino allegedly represented to him that the deficiencies with FedEx had all been taken care of. (AP 9, citing Birkheimer Decl. Evid. Tab 1, Exh. A [Prakash DT 152:1-153:10].) Contrary to Moving Parties' characterization of the testimony (MPA ISO Mot., p. 18, ll. 17-24 and Reply p. 8, ll. 1-4), Mr. Prakash did not testify in that portion of his deposition that Mr. Aquino made a suggestion about future conduct that he "would" take care of the deficiencies. Mr. Prakash testified that Mr. Aquino made a representation of fact that the deficiencies had been corrected and said in response to Mr. Prakash's inquiry "we have taken care" of them. (Birkheimer Decl. Tab 1 Exh. A [Prakash DT 152:1-153:10].) (*See also* Prakash Decl. ¶ 12.) The Court cannot weigh the evidence or its credibility on summary judgment. Mr. Prakash has raised a triable issue of fact as to whether Aquino made false Deficiency Representations to him based on that evidence.

However, Moving Parties also include UMFs based on which they argue Mr. Prakash's reliance on Mr. Aquino's alleged Deficiency Representation was unreasonable or unjustifiable. They include a UMF that after Dhiraj went to India in May 2022, Mr. Prakash became the managing owner of VJW, but Mr. Prakash contests, arguing that he was the "primary operational point of contact with FedEx and handled day to day station operations," while decision-making was in "group chats" and Mr. Prakash relied on others performing responsibilities they assumed. (UMF 79; Resp. to UMF 79, citing admissible evidence of Birkheimer Decl. Evid. Tab 1 Exh. A [Prakash DT 81:12-82:11].) (*See also* AF 8, citing also Birkheimer Decl. Evid. Tab 1 Exh. A [Mr. Prakash DT 80:20-81:4 that Aquino took over the VEDR issues after Dhiraj went to India in May 2022].) The Moving Parties also point to the fact that Mr. Prakash at all times had access to communications regarding the FedEx deficiencies through the SmartDrive system, to which Mr. Prakash presents no admissible evidence to support his dispute. (UMF 70; Resp. to UMF 70 [citing inadmissible Prakash responses to interrogatories].)

" '[T]he reasonableness of the reliance is ordinarily a question of fact. [Citations.] However, whether a party's reliance was justified may be decided as a matter of law if reasonable minds can come to only one conclusion based on the facts. [Citation.].' [Citation omitted.] 'In determining whether one can reasonably or justifiably rely on an alleged misrepresentation, the knowledge, education and experience of the person claiming reliance must be considered. [Citations.].' [Citations omitted.]" (*Hasso v. Hapke* (2014) 227 Cal. App. 4th 107, 132 [emphasis added, quoting *Guido v. Koopman* (1991) 1 Cal.App.4th 837, 843].)

There is no dispute that Mr. Prakash was at least the 50% owner of VJW, and the other three shareholders all held minority stakes of 10% or 20%, such that Mr. Prakash had by far the largest financial stake and interest in the operational and financial well-being of the company. (Compl. ¶ 10; UMF 56.) The Court considers the context in which the alleged Deficiency Representation was made

by Aquino according to Mr. Prakash. The context was that Mr. Prakash was going to buy out the ownership interests of all the minority shareholders and become the sole owner of the company.

The undisputed evidence shows that the FedEx contract was fundamental to the business and was subject to months of known violations and threats by FedEx to terminate based on those violations, as reflected in the October 17-19, 2022 email exchanges between Mr. Prakash and FedEx, in which Mr. Prakash requested and was provided by FedEx reports regarding the contract violations. (Birkheimer Decl. Evid. Tab 1 Exh. J.) As of November 25-27, 2022, when Mr. Prakash alleges Aquino made his Deficiency Representation on the eve of execution of the BPA, Aquino was on the opposite side of a business transaction, and the parties were negotiating the Aquino Parties' buyout and separation from Mr. Prakash and the business. Mr. Prakash highlights in his opposition the history of ongoing problems with compliance with the FedEx contract, the scanners and the alerts since June 2022. (Resp. to UMFs 61-64, 68, 71.) He highlights Mr. Aquino's alleged failures to address and resolve the issues such as the scanners, VEDR issues, and alerts which led to the October 17-19, 2022 email exchanges with FedEx to which Mr. Prakash was a party, including the reports by FedEx referenced in the email that VJW failed four out of four metrics under the contract. (Birkheimer Decl. Evid. Tab 1 Exh. J.)

The posture of the parties' relationship was essentially adversarial as of November 25-27, 2022. Mr. Prakash's knowledge of the history of what he asserts were repeated failures by Mr. Aquino to resolve the FedEx problems and the parties' impending buyout agreement to eliminate the Aquino Parties' ownership in VJW do not support that Mr. Prakash could reasonably rely on a representation by Aquino that suddenly, on the eve of entering into the BPA, Mr. Aquino had managed to fully resolve all the FedEx deficiencies. With Mr. Prakash's knowledge of the prior extensive violations of the FedEx contract and risk of termination of that contract, the most important asset of VJW, of which Mr. Prakash was about to become the sole owner, it was manifestly unreasonable for Mr. Prakash to rely on a representation by the adverse party in the buyout transaction as to whether the violations of the FedEx contract had been cured and were all resolved. This is particularly the case where Mr. Prakash as the majority owner and FedEx contact (see Exh. J) had sources readily available to independently verify the status of the deficiencies by communicating with FedEx and accessing SmartDrive to check on unresolved alerts. The facts support only one conclusion: any reliance by Mr. Prakash under the circumstances on Mr. Aquino's alleged Deficiency Representations was unreasonable and unjustifiable.

(d) Conclusions as to Issue Six

Moving Parties have demonstrated that neither Mr. Guevara nor Mr. Amezcua made knowingly false representations to Mr. Prakash as to the Capital Representations, the Expense Representations, or the Deficiency Representations. This negates the essential element of the existence of a false representation in the intentional misrepresentation cause of action as to those parties.

Moving Parties have also demonstrated that there are no triable issues of material fact that Aquino made no false Capital Representations and made no Expense Representations. To the extent that Aquino made any Deficiency Representations, the undisputed facts and evidence demonstrate there is no triable issue that Mr. Prakash could not have reasonably or justifiably relied on Mr. Aquino's alleged Deficiency Representation made between November 25 and 27, 2022 that all the Deficiency

issues had been corrected.

Moving Parties have negated at least one essential element necessary for Mr. Prakash to make his intentional misrepresentation claim against to each of the Aquino Parties. They are entitled to judgment on the intentional misrepresentation cause of action as a matter of law. Summary adjudication of Issue Six on the second cause of action of the complaint for intentional misrepresentation is **GRANTED**.

3. Issue Seven – Concealment (3rd C/A)

Moving Parties present UMFs 81-104 (with no UMF 99) in support of their right to summary adjudication of the third cause of action for concealment. Moving Parties argue that the allegations of the complaint do not really state a claim for concealment but for intentional misrepresentations. Mr. Prakash alleges in the third cause of action is that the Aquino Parties made affirmative misrepresentations but concealed the "falsity" of their representations or concealed the "true" facts. (Compl. 38, 41, 45 [Aquino Parties acted with conscious disregard of Mr. Prakash's right "in making such" false representations].) The concealment Mr. Prakash alleges is essentially a failure to correct the three categories of alleged affirmative misrepresentations Mr. Prakash alleges were made. (UMF 81.) Mr. Prakash does not raise a genuine dispute of that fact or cite any admissible evidence to support his position. (Resp. to UMF 81.)

Moving Parties cite all the same UMFs in support of this Issue as they cited in support of Issue Six, with the exception of UMF 75, 76, 79 and 80. (UMFs 98-104 with no UMF 99 = UMFs 55-60; UMFs 86-97 = UMFs 61-72; UMF 82 = UMF 77, UMF 83 = UMF 78, UMF 84 = UMF 73, and UMF 85 = 74; it is not clear why the UMFs for Issue Seven were reordered and renumbered from Issue Six.) In his Response to UMFs 82-104, Mr. Prakash raises the same disputes with the same supporting argument and material as his responses to UMFs 55-74, 77 and 78. The Court does not find the omission of UMFs 75 and 76, which address the Aquino Parties' desire to and motivations for disassociating themselves with VJW, to be material to the disposition of the concealment claim. The omission of UMF 79, which addresses Mr. Prakash's role as managing owner, and UMF 80, regarding the Aquino Parties occasionally assisting Mr. Prakash, also does not mean that the grounds for summary adjudication of this cause of action have not been established for Issue Seven, for the same reasons they were established in Issue Six.

For the same reasons the Court concluded above regarding Issue Six that there are no triable issues of material fact and that the Moving Parties are entitled to judgment as a matter of law on the second cause of action, the Court concludes there are no triable issues of material fact regarding the third cause of action for concealment, and the Moving Parties are entitled to judgment on the concealment claim. The motion for summary adjudication of Issue Seven on the third cause of action of the complaint for concealment is **GRANTED**.

4. Issue Eight – Negligent Misrepresentation (4th C/A)

Moving Parties present UMFs 105-126 in support of their right to summary adjudication of the fourth cause of action for negligent misrepresentation. The negligent misrepresentation claim alleges the same three categories of misrepresentations as alleged in the first three causes of action. (Compl. ¶¶ 47-53.) Mr. Prakash adds that the Aquino Parties "had no reasonable basis to believe them to be true"

as to the representations they allegedly made. (Compl. ¶¶ 47, 48, 50.)

Issue Eight includes the same UMFs as Issue Seven, but again inexplicably rennumbers and reorders the UMFs. UMFs 105, 106 = UMFs 77, 78 and 82, 83; UMFs 107-112 = 55-60 and 98-104 (no 99); UMFs 113, 114 = 73, 74, and 84, 85; UMFs 115-126 = UMFs 61-72 and 86-97. UMFs 75, 76, 79, and 80 from Issue Six pertaining to the second cause of action are similarly omitted in support of Issue Eight. Mr. Prakash's responses to the UMFs that support this cause of action raise the same disputes with the same supporting argument and material as his Responses to UMFs 55-74, 77 and 78.

For the same reasons the Court concluded above regarding Issue Six that there are no triable issues of material fact and that the Moving Parties are entitled to judgment as a matter of law on the second cause of action, the Court concludes there are no triable issues of material fact regarding the fourth cause of action for negligent misrepresentation, and the Moving Parties are entitled to judgment on the negligent misrepresentation claim. The motion for summary adjudication of Issue Seven on the fourth cause of action of the complaint for negligent misrepresentation is **GRANTED**.

F. Issue Nine – Unjust Enrichment (5th C/A)

The decision *Durell v. Sharp Healthcare* (2010) 183 Cal.App.4th 1350 cited by Moving Parties explains that, despite its statement that California does not recognize "unjust enrichment" as a cause of action, the claim is one for restitution. "Unjust enrichment is synonymous with restitution. [Citation omitted.] [¶] 'There are several potential bases for a cause of action seeking restitution. For example, restitution may be awarded in lieu of breach of contract damages when the parties had an express contract, but it was procured by fraud or is unenforceable or ineffective for some reason. [Citations.] Alternatively, restitution may be awarded where the defendant obtained a benefit from the plaintiff by fraud, duress, conversion, or similar conduct. In such cases, the plaintiff may choose not to sue in tort, but instead to seek restitution on a quasi-contract theory . . . [Citations.] In such cases, where appropriate, the law will imply a contract (or rather, a quasi-contract), without regard to the parties' intent, in order to avoid unjust enrichment.' [Citation omitted.]" (*Id.* at 1370 [emphasis added, quoting *McBride v. Boughton* (2004) 123 Cal.App.4th 379, 388].)

The decision suggests the label "unjust enrichment" may be wrong under that decision, but the term is "synonymous" with restitution which may be based on various equitable theories of recovery. (*But see* apparent split of authority as to existence of "unjust enrichment" cause of action as *Durell* relies on *Melchior v. New Line Productions, Inc.* (2003) 106 Cal.App.4th 779, 793 ["as the trial court observed, there is no cause of action in California for unjust enrichment"], and *Prakashpalan v. Engstrom, Lipscomb & Lack* (2014) 223 Cal.App.4th 1105, 1132 [addressing unjust enrichment claim and setting forth elements of the cause of action], and *Hirsch v. Bank of America* (2003) 107 Cal.App.4th 708, 717 [same].) Given the split of authority, the Court is not persuaded that the Aquino Parties are entitled to summary adjudication of the unjust enrichment cause of action and that it should be dismissed solely based on their argument that it is not a recognized cause of action.

The authorities Moving Parties cite for the proposition that the unjust enrichment claim should be dismissed as a claim duplicative of the fraud claims are not persuasive. First, the decision *Broadway Victoria, LLC, v. Normington, Witta & Fusta* (2017) 10 Cal.App.5th 1185, which Moving Parties cite in both the moving and reply papers was ordered **depublished** by the California Supreme Court and is not citable precedent. (*Broadway Victoria, LLC, v. Normington, Witta & Fusta* (July 26, 2027) 2017

Cal. LEXIS 5900 *1 [denying petition for review and ordering decision not to be published].) Second, *Careau & Co. v. Security Pacific Business Credit, Inc.* (1990) 222 Cal.App.3d 1371 involved claims for breach of contract and breach of the implied covenant of good faith and fair dealing, not a claim for unjust enrichment or restitution, and it is not clear that its . includes a statement addressing a cause of action for breach of the implied covenant of good faith and fair dealing and breach of contract cause of action: "If the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated." (*Id.* at 1395.) The Court ultimately reversed and remanded in part to allow the parties to attempt to allege additional facts to support their breach of the implied covenant cause of action.

Moving Parties' sole UMF in support of their motion for summary adjudication of the unjust enrichment cause of action asserts that the unjust enrichment cause of action "relies on the same alleged facts and seeks the same relief as his fraud claims." (UMF 127.) Mr. Prakash purports to dispute that fact by arguing the unjust enrichment claim is based on "both the fraud based claims and the contract based BPA claims," citing the same two paragraphs of the complaint as the Moving Parties. (Resp. to UMF 127.) Though Mr. Prakash alleges an agreement for the buyout of the Aquino Parties' ownership interest in VJW in November 2022 (Compl. ¶ 15), Plaintiff does not allege any "contract based BPA claims"; the only place the "Business Purchase Agreement" is even mentioned is in paragraph 1 of the complaint.

Paragraph 54 incorporates all prior allegations. Read as a whole with the preceding allegations, the complaint does include allegations as to why he contends he was defrauded into buying his initial 50% ownership interest and then into agreeing to buyout the Aquino Parties' interests in VJW and why he contends he unfairly paid sums which he should be entitled to get back on equitable grounds. Paragraph 55 alleges Mr. Prakash's initial \$445,000 investment, his entering into the buyout agreement for \$300,000, and his payment of \$150,000 toward the buyout, and that the sum of his two payments (\$445,000 and \$150,000) "is the amount that represents an unjust windfall to" the Aquino Parties. (Compl. ¶ 55.) In addition to asking for recovery of that sum, he seeks relief from "any further obligation under" the buyout. (Compl. ¶ 55.)

Moving Party has not presented facts or law in support of Issue Nine that the allegations of the complaint through paragraphs 54 and 55 do not support a claim for restitution as described in the *Durell* decision above. Moving Parties do not cite facts and evidence in support of Issue Nine that demonstrate there are no triable issues as to any facts material to whether Mr. Prakash may be entitled to restitution under the grounds described in *Durell*. The Court is also not persuaded that the Moving Parties have demonstrated that the cause of action is simply superfluous and should be summarily adjudicated for Moving Parties on that ground. For all these reasons, the motion for summary adjudication of Issue Nine that there are no triable issues of material fact and the Moving Parties are entitled to judgment in their favor on the fifth cause of action of the complaint for unjust enrichment is **DENIED**.

G. Issue Ten – Declaratory Relief (6th C/A)

The cause of action for declaratory relief cites the actual controversies between the parties and seeks a judicial declaration as to whether Mr. Prakash is entitled to "the return of the Initial Investment of

\$445,000" from the Aquino Parties, and "the return of the Buyout initial payment of \$150,000" from the Aquino Parties, and whether the Aquino Parties "are entitled to be paid the balance of the Buyout of \$150,000 from Plaintiff." (Compl. ¶ 56.) Three of the UMFs in support of this Issue merely recite what the declaratory relief claim seeks, as summarized above (UMF 128), and recite that Mr. Prakash's claimed right to return of his \$445,000 investment is subject to his fraud claims (UMF 129), and the Aquino Parties' right to the second payment of \$150,000 is subject to the cross-complaint (UMF 151). These UMFs are undisputed. Moving Parties also state that Mr. Prakash's right to return of the \$150,000 is also subject to both his fraud claims and the Aquino Parties' cross-complaint. (UMF 130.) Mr. Prakash disputes UMF 130, but only on the basis that he is claiming the right to return of the \$150,000 also based on his interpretation of the BPA, which the Court has rejected as unreasonable in addressing the first cause of action.

While the UMFs in support of this Issue may be essentially undisputed, Moving Parties have not shown that they are "entitled to a favorable declaration" so as to entitle them to a declaration in their favor on each of the three controversies subject to the declaratory relief cause of action. (*Maguire v. Hibernia S. & L. Soc.* (1944) 23 Cal.2d 719, 723.) The Aquino Parties' right to \$150,000 as the second payment under the BPA is not what they allege in the cross-complaint; they allege they are entitled to \$302,000 as damages in the cross-complaint, and the Court has concluded that they did not meet their initial burden and/or there are triable issues pertaining to their breach of contract claim in Issue One. The Court has ruled that they did not meet their initial burden on the motion as to the first cause of action of the complaint by Mr. Prakash for fraud. As the breach of contract cause of action in the cross-complaint and fraud cause of action in the complaint must be tried, Moving Parties have not demonstrated they are entitled to a declaration of rights in their favor on the sixth cause of action for declaratory relief. The motion for summary adjudication of Issue Ten for declaratory judgment in favor of the Aquino Parties on the sixth cause of action of the complaint is **DENIED**.

H. Issue Eleven – Summary Adjudication of Claim/Prayer for Punitive Damages

Moving Parties failed to meet their initial burden to obtain summary adjudication of the first cause of action for fraudulent inducement (promissory fraud), and the Court has denied summary adjudication of that cause of action on that ground. Under Civil Code section 3294, punitive damages may be awarded in "an action for the breach of an obligation not arising from contract" where Plaintiff proves the "defendant has been guilty of oppression, fraud, or malice." (Civ. Code § 3294(a) [emphasis added].) Fraud is defined as "an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury." (Civ. Code § 3294(c)(3).)

The statute is written in the disjunctive, such that proof of fraud is sufficient to impose punitive damages. (Allegations sufficient to support a claim for fraud based on concealment can support a claim for punitive damages. (*Stevens v. Superior Court* (1986) 180 Cal.App.3d 605, 610 [the "pleading of fraud" is sufficient to state a claim for punitive damages, without allegations "that the fraud was motivated by the malicious desire to inflict injury"]; *Las Palmas Associates v. Las Palmas Center Associates* (1991) 235 Cal.App.3d 1220, 1238-1239 [fraud alone sufficient for punitive damages].)

Moving Parties' reply asserts that Mr. Prakash has not shown triable issues on any of the fraud claims, and therefore the claim for punitive damages can be summarily adjudicated in their favor under Code

of Civil Procedure section 437c(f). (Reply p. 10, ll. 15-19.) Moving Parties have not demonstrated that there are no triable issues of material fact and that they are entitled to summary adjudication of the first cause of action for fraudulent inducement (promissory fraud). As the first cause of action for fraud stands, they are not entitled to summary adjudication in their favor of the claim for punitive damages. The motion for summary adjudication of Issue Eleven is **DENIED**.

Moving Parties' Evidentiary Objections to Opposing Party Evidence

Pursuant to Code of Civil Procedure section 437c(q), the Court only rules on those evidentiary objections that are material to the Court's ruling. The Court rules on the objections to the Prakash Declaration.

Obj. No. 1 - **Overruled**.

Obj. Nos. 2, 3 – **Sustained**. As to Obj. 3, *see also* Evid. Code §§ 1521, 1523.

Obj. No. 5 – **Sustained in part** as to second sentence only.

Obj. Nos. 13, 14 – **Sustained**. The BPA is an integrated document, but the Court has found the language ambiguous. In making its ruling, including sustaining the parol evidence objection in Objection Nos. 13 and 14 to the Prakash Declaration, the Court has reviewed and considered the parol evidence offered by Prakash concerning his negotiations with the Aquino Parties over the provisions Aquino added to the draft BPA in paragraph 14 of the Prakash Declaration pursuant to the two-step process under the case law. "Parol or extrinsic evidence is admissible to resolve an ambiguity. [Citations omitted.] In such cases, the court engages in a two-step process: 'First, the court provisionally receives (without actually admitting) all credible evidence concerning the parties' intentions to determine "ambiguity," i.e., whether the language is "reasonably susceptible" to the interpretation urged by a party. If in light of the extrinsic evidence the court decides the language is "reasonably susceptible" to the interpretation urged, the extrinsic evidence is then admitted to aid in the second step--interpreting the contract.' [Citation omitted.]" (*WYDA Associates v. Merner* (1996) 42 Cal. App. 4th 1702, 1710 [emphasis added].) (*See also Casa Herrera, Inc. v. Beydoun* (2004) 32 Cal.4th 336 ["The parol evidence rule is codified in Civil Code section 1625 and Code of Civil Procedure section 1856. [Citation omitted.] It 'generally prohibits the introduction of any extrinsic evidence, whether oral or written, to vary, alter or add to the terms of an integrated written instrument.' [Citation omitted.] The rule does not, however, prohibit the introduction of extrinsic evidence 'to explain the meaning of a written contract . . . [if] the meaning urged is one to which the written contract terms are reasonably susceptible.' [Citation omitted.] [¶] Although the rule results in the exclusion of evidence, it 'is not a rule of evidence *but is one of substantive law*.' [Citation omitted, italics in original, underscoring added].) The Court concluded above the extrinsic evidence offered in the Prakash Declaration to explain the ambiguity in the BPA urges a meaning of the written contract terms to which the terms are not reasonably susceptible. The Court therefore excludes this evidence under the parol evidence rule.